

Still resilient to global turmoil

- **Key changes:** We've nudged our GDP growth forecast for Spain up to 2.5% this month amid signs that economic activity remains resilient to the shock from the conflict in the Middle East. We anticipate growth easing slightly to 2% next year. Our inflation forecast is unchanged from last month at 3.4%, and we see inflation moderating to 2.1% in 2027.
- **Short-term forecast:** Monthly data suggest that economic activity remains robust in Q2, and we expect the economy to expand 0.6% q/q, the same pace seen in Q1. The Spanish economy will again grow well above the Eurozone average this year, boosted by strong domestic demand and some redirection in tourism flows owing to the war in the Middle East. Inflation remained stable at 3.2% in May, but we expect price pressures to intensify over the coming months as the government tax cuts on fuels and electricity end.
- **What to watch out for:** The growth outlook still looks resilient, but consumer spending is already feeling the pinch from higher prices on real incomes and sentiment. If the crisis persists and energy prices rise, second-round effects will amplify the impact, and potential oil shortages would damage activity. We think the government would likely extend the fiscal relief package in this case, impacting the deficit figures.

Table 1: Spain forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2023	2024	2025	2026	2027	2028
GDP	2.5	3.5	2.8	2.5	2.0	1.8
Private consumption	1.8	3.1	3.4	2.6	1.9	1.8
Industrial production	-1.6	0.4	1.3	0.7	2.2	1.9
Employment	3.1	2.2	2.6	2.2	1.2	0.5
Unemployment rate (%)	12.2	11.3	10.5	9.9	9.3	9.1
Government balance (% of GDP)	-3.3	-3.2	-2.4	-2.3	-2.2	-2.2
Gross government debt (% of GDP)	105.2	101.6	100.7	97.9	96.2	95.0
Current a/c balance (% of GDP)	2.7	3.2	2.9	2.8	2.8	2.8
Consumer prices	3.5	2.8	2.7	3.4	2.1	2.1
ECB's deposit rate (% EOP)	4.00	3.00	2.00	2.50	2.00	2.00
10yr govt. bond yield (% EOP)	2.79	3.00	3.32	3.38	3.43	3.43
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

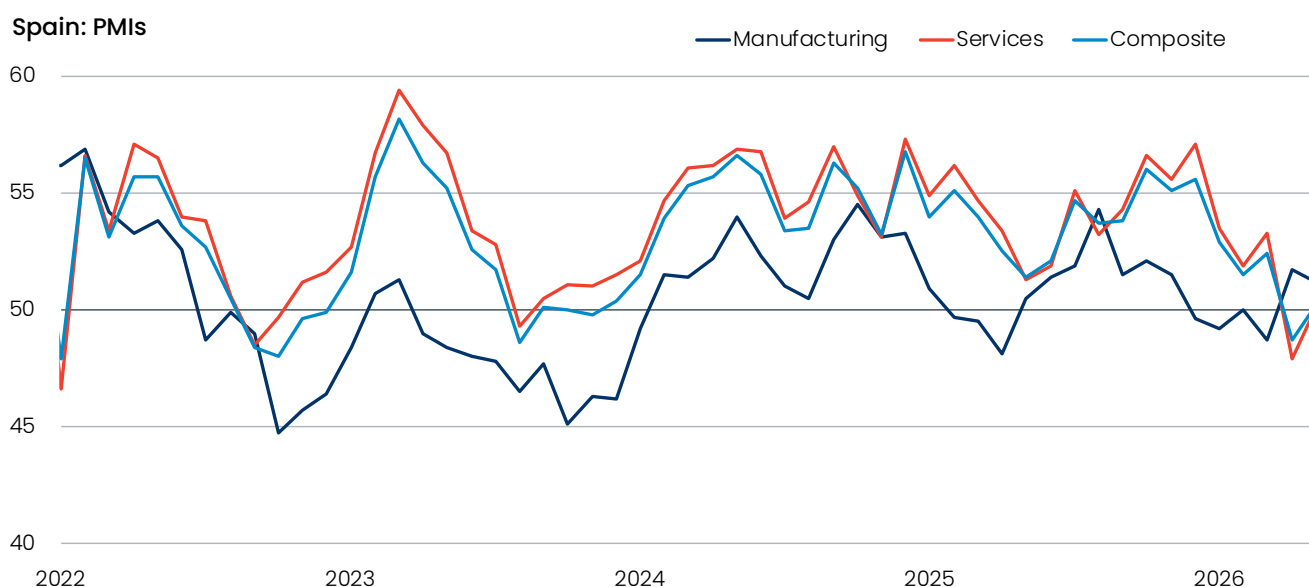
Baseline forecast

Recent developments

After expanding 0.6% q/q in Q1, monthly survey data suggest that growth remains broadly stable in Q2. The composite PMI rose to 50.2 points in May, returning above the 50-point threshold after a brief dip into contraction territory in April ([Chart 1](#)). The rebound was driven by stronger growth in services activity, but at 50.1, the index remains weak, showing the war in the Middle East is still having an impact on business sentiment. Manufacturing activity eased during the month but remains slightly stronger at 51.2.

Hard data indicators have generally been stronger than surveys. Despite a 0.4% decline in April, a strong rise in industrial production in March means that output will likely see strong growth in Q2. Meanwhile, the labour market shows no signs of abating, with employment growth accelerating to an annual 2.5% pace in May.

Chart 1: PMIs bounced back in May

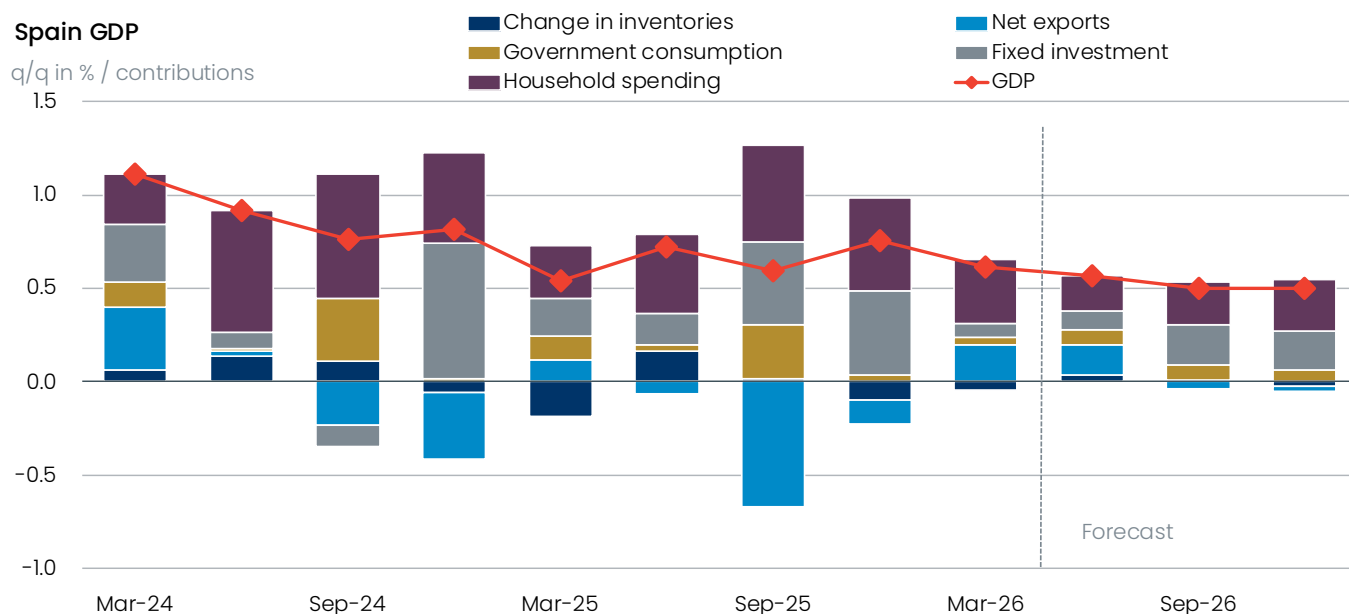


Sources: Oxford Economics, S&P Global

Short-term forecast

We've nudged our GDP growth forecast up to 2.5%. This reflects the relative resilience that real activity indicators continue to show in the face of the Middle East conflict despite the weakness seen in the survey data. Our nowcast points to GDP growth of 0.6% q/q in Q2, with growth slightly easing over the following quarters ([Chart 2](#)). For 2027, we expect GDP growth to moderate to 2.1%. Our forecasts remain slightly above consensus, reflecting that strong domestic activity is partially shielding the economy from the adverse external environment, and some early evidence that tourism flows are benefitting from redirection owing to the conflict.

Chart 2: We expect GDP growth to be stable in Q2



Sources: Oxford Economics, Haver Analytics

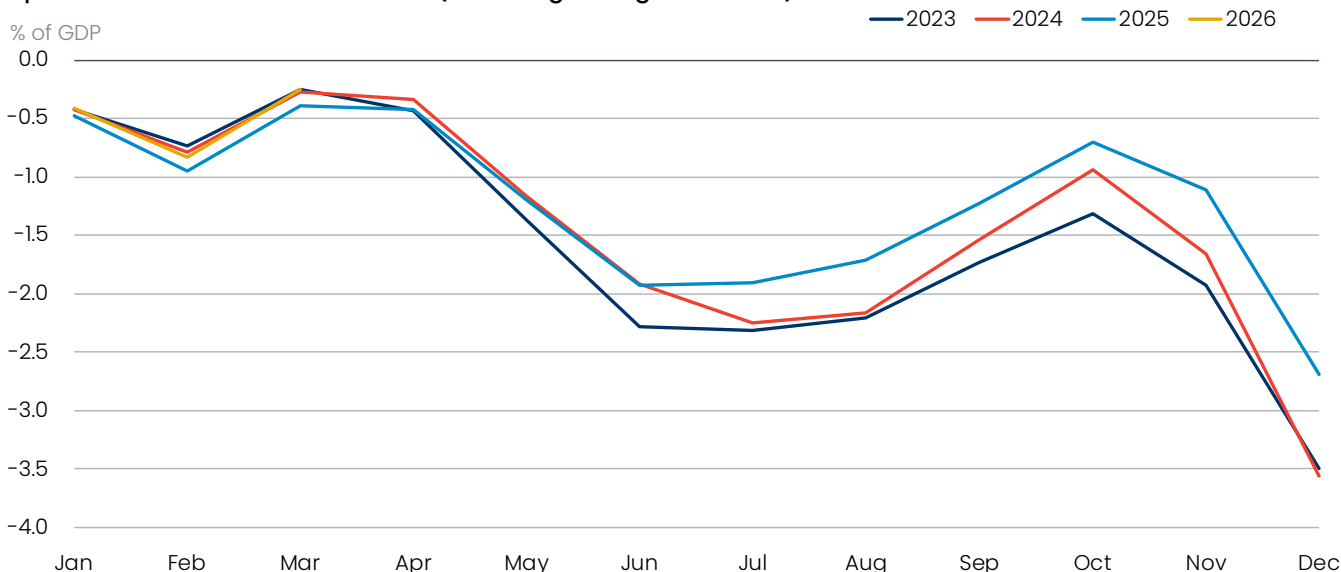
Policy assumptions

Fiscal policy. Spain is loosening fiscal policy slightly, as better-than-expected deficit numbers allow the government to use fiscal policy to shield consumers and businesses from the impact of higher inflation. At an estimated €5bn cost, Spain's fiscal package is currently the largest among European countries. Nevertheless, strong economic growth means we expect the fiscal deficit to be comfortably below the 3%-of-GDP threshold this year ([Chart 3](#)).

Monetary policy. We project two 25bps rate hikes by the European Central Bank this year to keep inflation expectations anchored amid the rapid rise in energy prices. This reflects a new era of more frequent global supply shocks that require a more robust policy response. Also, the ECB's communication has remained hawkish ever since the inflation surge in 2022, so we don't think the central bank will be able to look through this energy shock, even if it deems it temporary. But we expect the ECB to cut rates again relatively quickly in mid-2027, bringing the deposit rate back to 2% as energy prices normalise.

Chart 3: Spain's falling deficit is allowing the government space to deploy fiscal measures

Spain: Accumulated fiscal balance (excluding local government)



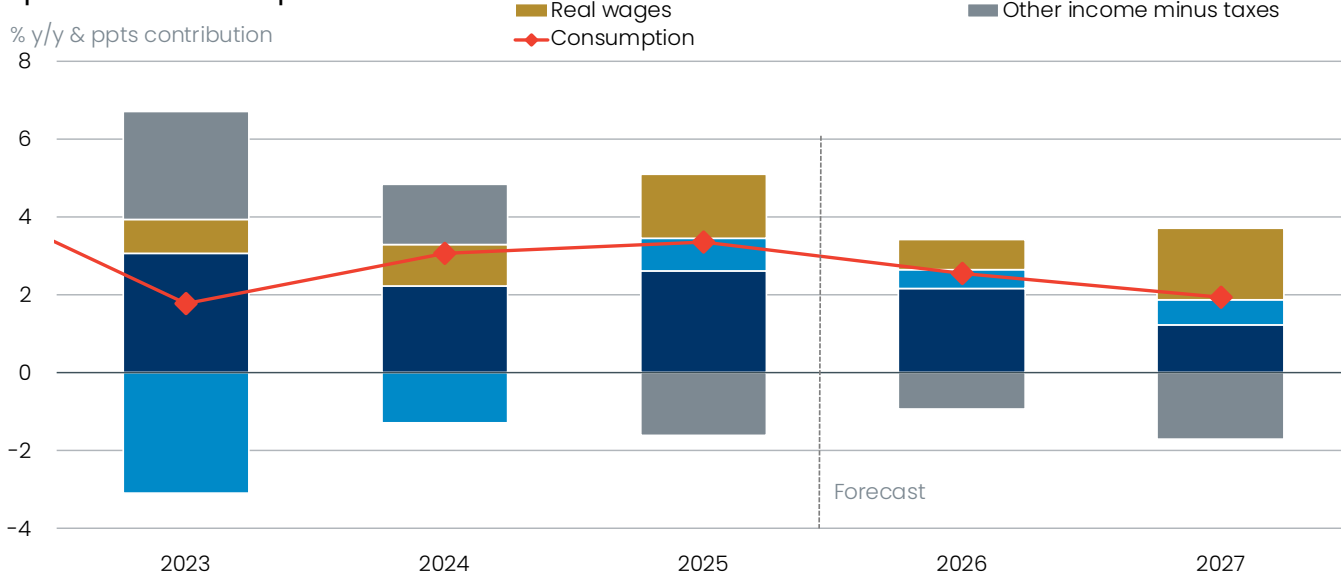
Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

Strong consumer spending faces an inflation shock. Consumer spending continues to grow robustly, supported by rising real incomes. Employment growth remains the key driver, but rising real wages are also contributing (Chart 4). Government transfers have bolstered households' finances, although we expect public support to moderate. Rising energy costs are hurting incomes and putting pressure on spending elsewhere, as seen in the latest retail sales data. Despite strong fundamentals, consumer sentiment remains weak, and many households still feel negative about the economy. This likely reflects high consumer prices, which will be exacerbated over the coming months by higher energy prices. We expect consumer spending to grow 2.6% in 2026 and 1.9% in 2027.

Chart 4: We expect consumer spending to grow at a slower pace

Spain: Private consumption drivers



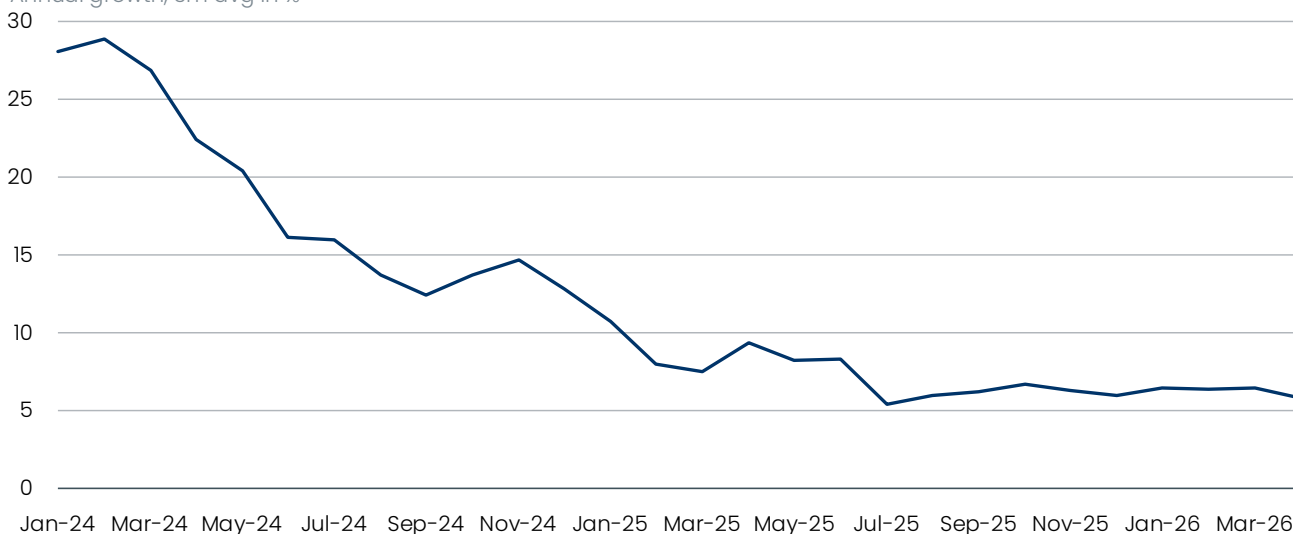
Sources: Oxford Economics, Haver Analytics

Tourism's contribution is gradually weakening. Tourism continues to drive exports of services, but its contribution to GDP growth is diminishing as tourist arrivals hit a ceiling. Revenue growth appears to have stabilised around 6% y/y with higher spending per visitor partially offsetting the slowdown in arrivals (**Chart 5**). A pickup in tourism numbers in April suggests that Spain may be benefitting from some redirection of tourism flows given the war in the Middle East. Tourism revenue, along with other exports of services, is helping the Spanish economy maintain a large current account surplus despite its sizeable trade deficit. We forecast total exports to expand by 1.1% this year and 2% in 2027.

Chart 5: Tourism revenue growth has stabilised

Spain: Tourism revenues

Annual growth, 3m avg in %



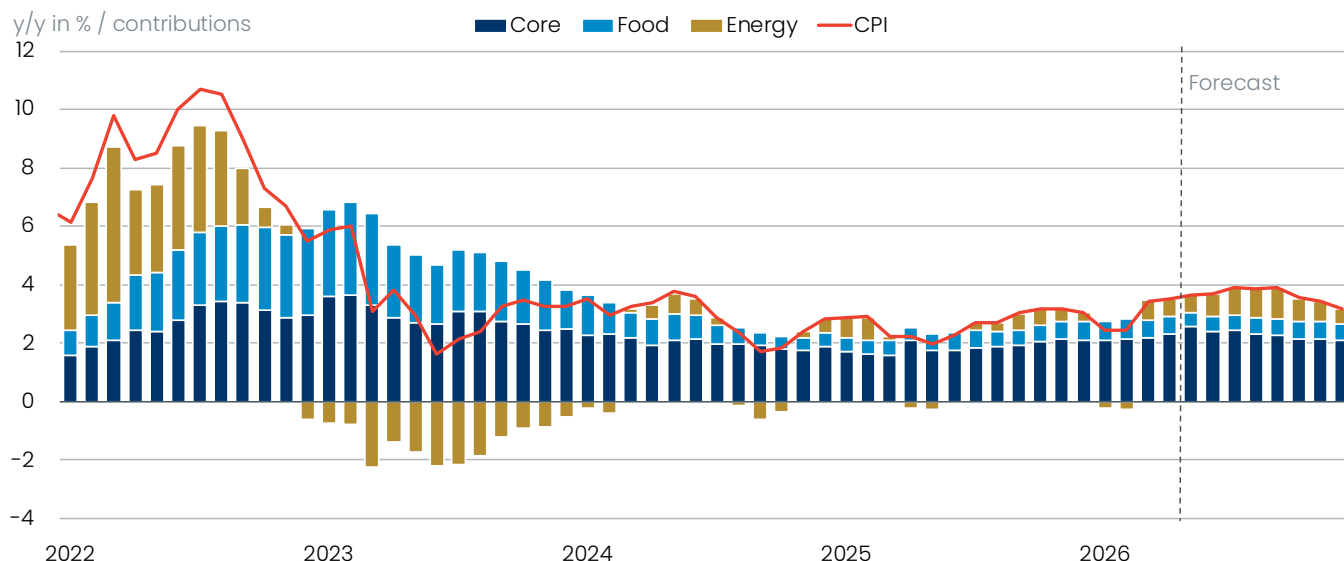
Sources: Oxford Economics, Haver Analytics

Investment has become a major growth driver. Following a period of weakness after the pandemic, investment is growing at a solid clip, as business spending benefits from the impact of lower interest rates and strong aggregate demand. The relative weakness in machinery and equipment investment suggests firms have been pessimistic about the outlook despite strong economic growth, but the latest data suggest that trend is finally changing. Lending growth remains solid, and the deployment of European funds and stronger defence spending will continue to bolster public investment. The large rise in uncertainty caused by tariffs and the energy shock will continue to be a headwind for capex, but we still expect fixed investment to grow 4.4% this year and 3.7% in 2027.

Inflation will remain high over the coming months. Inflation was stable at 3.2% in May, as the government's tax cuts on fuels and electricity continued to soften the blow from higher energy costs. Core inflation inched up to 2.9%, but signs of second-round effects remain limited. The planned end of the fiscal measures means inflation could rise to close to 4% over the coming months, but there's a likelihood the government will extend the tax cuts if energy prices rise. The longer the energy shock lasts, the higher the chances that the rise in energy prices will propagate more broadly into food and core inflation, as well. We see inflation averaging 3.4% this year before falling to 2.1% in 2027.

Chart 6: Inflation will rise in the coming months if energy prices don't normalise

Spain harmonised inflation



Sources: Oxford Economics, Haver Analytics

What to watch out for

Worsening political climate. The polarisation of Spanish politics has reached a level we haven't seen in decades. The emergence of new parties on the far left and the far right and their ascent to power as junior partners in government coalitions has added a new level of confrontation, pulling traditional parties into more extreme positions. As a result, building consensus around broad economic and social reforms has become nearly impossible.

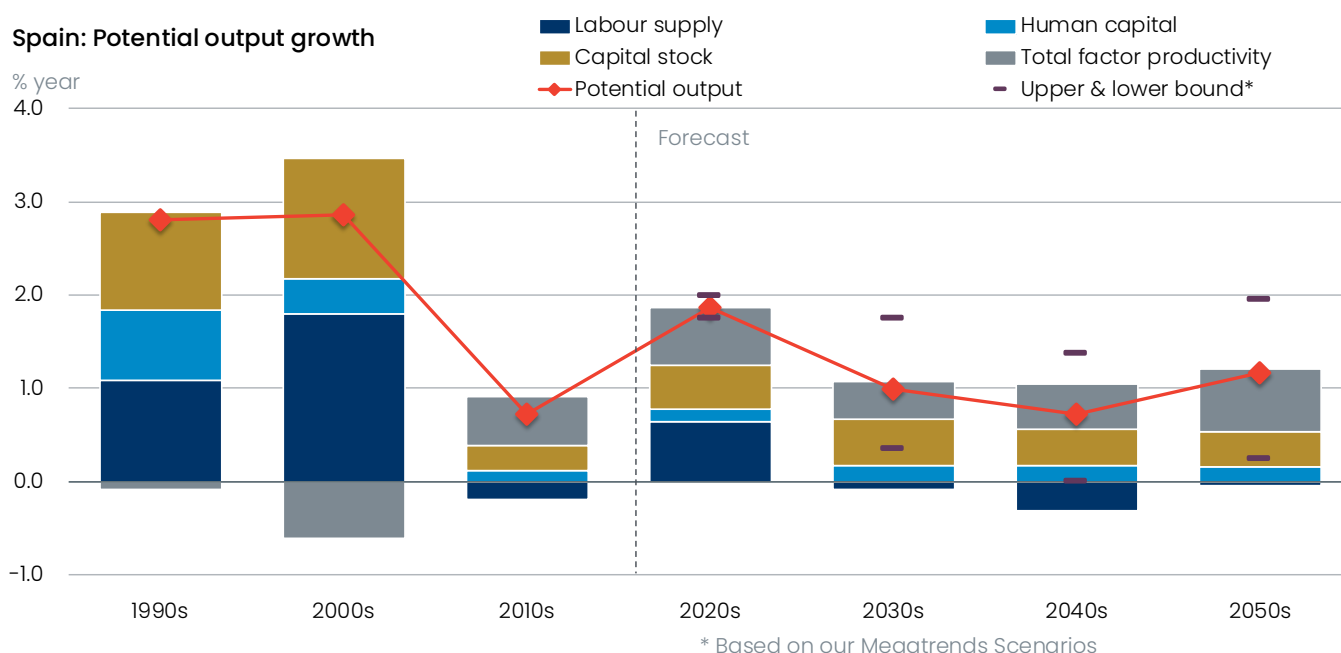
Immigration. Spain has experienced a strong migration wave in recent years, the second in two decades. More than 2 million people have arrived in the country since 2022, helping fuel a strong cycle of economic and employment growth. However, the economic and social costs of absorbing such a large inflow in a short period is causing increasing tensions, and the issue has become one of the key political battles. The current level of inflows isn't sustainable, and the likely rise to power of a conservative government in 2027 will come with a harder stance against migration, adding a headwind to the strong growth cycle.

Catalonia. The feud between Catalonia and Madrid will continue to create political noise for years to come. In the worst-case scenario, Catalan nationalism would result in secession from Spain. This would be a devastating blow to the Spanish economy as Catalonia is the country's largest regional economy, and it might lead to demands from other regions to follow suit. But we think such an extreme outcome has virtually no chance of happening. A more likely scenario is a persistent back-and-forth between the Catalan government and Madrid to gain more autonomy and an improved fiscal arrangement.

Long-term prospects

After a decade marred by crises that caused a collapse in potential growth, the economy is set to expand at a stronger pace over the next 10 years. But the comparison likely flatters Spain's true performance, as the impact of several global crises over 2008-2020 heavily distorted potential growth. The growth rates we expect for the upcoming decade will be well below those that were common in the 1990s and most of the 2000s ([Chart 7](#)).

Chart 7: Our baseline forecast shows weaker potential growth given poor demographics



Sources: Oxford Economics, Haver Analytics

We expect potential growth to fall below 1% per year in the 2030s and 2040s, dragged down by a decline in the labour supply. Spain has one of the lowest fertility rates in the world, a trend that will be hard to reverse given the limited success natalist policies tend to have. Negative population growth can only be mitigated through periodic migration waves during times of strong economic growth, which pose social and political challenges. Many well-educated Spaniards are still seeking work abroad, hurting the country's stock of human capital. The demographic profile should improve in the 2050s, leading to a rise in potential growth.

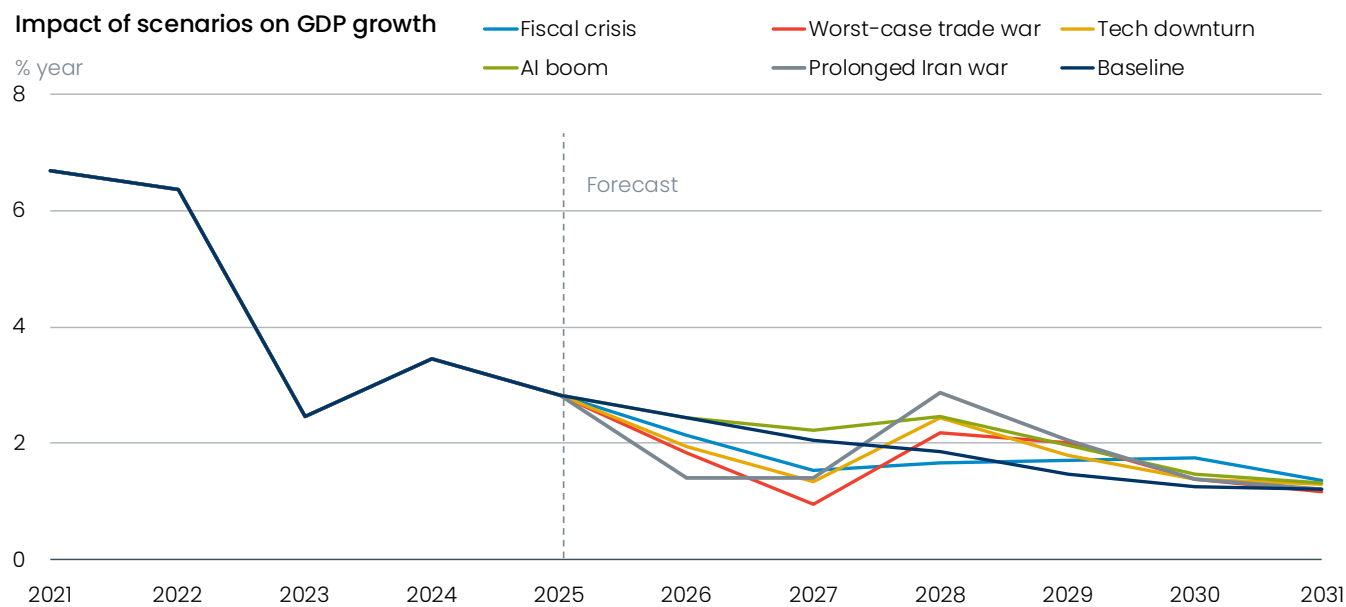
Due to poor educational results, a labour market with a prevalence of low-value-added jobs, and a large share of micro-enterprises, Spain continues to suffer from low productivity. However, we expect total factor productivity growth over the next few decades to be stronger than in the past, given the country's restructuring towards a greater focus on tradable sectors after the real estate bubble burst in the late 2000s and signs of improvement in the labour market following recent reforms.

Scenarios

Exposure to key global risks

Worst-case trade war. In this scenario, import tariffs remain elevated. The US is able to raise tariffs beyond trade agreement levels, despite the US Supreme Court ruling, and the expected USMCA renegotiation fails to materialise. The US economy contracts throughout the first year of the scenario. Supply chains are disrupted as higher tariffs weigh on investment. Worsening investor sentiment amplifies the hit to demand. In this scenario, Spain's annual growth would be 0.5pppts below our baseline over the next three years ([Chart 8](#)).

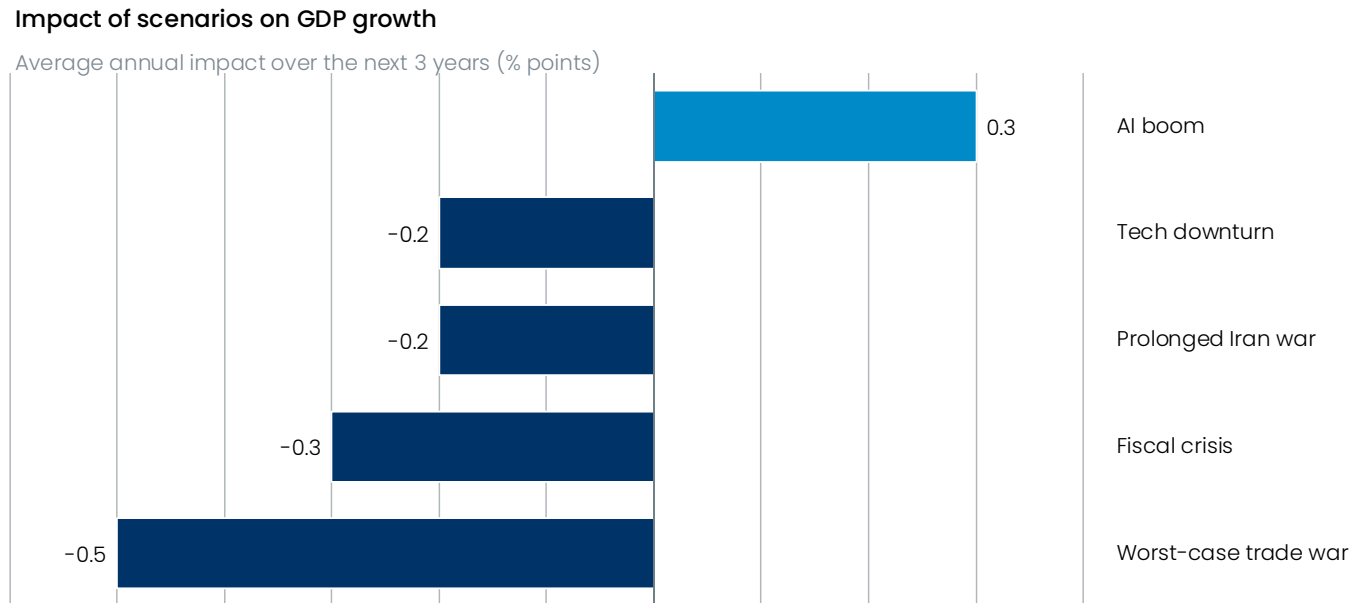
Chart 8: In our scenarios, risks are skewed to the downside



Source: Oxford Economics

AI boom. In this upside scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. In the early stages of the scenario, US tech capital spending continues to grow sharply, mirroring the upswing witnessed in the 1990s. The surge in tech investment is accompanied by a further upswing in stock market performance. The world economy strengthens as robust US growth spills over globally, including to exporters of tech-related products to the US. Global growth remains buoyant, as productivity gains help keep price pressures in check despite the strength of global demand. In this scenario, annual GDP growth would be 0.3ppts above our baseline over the next three years ([Chart 9](#)).

Chart 9: A worst-case trade war scenario would be the most damaging for Spain



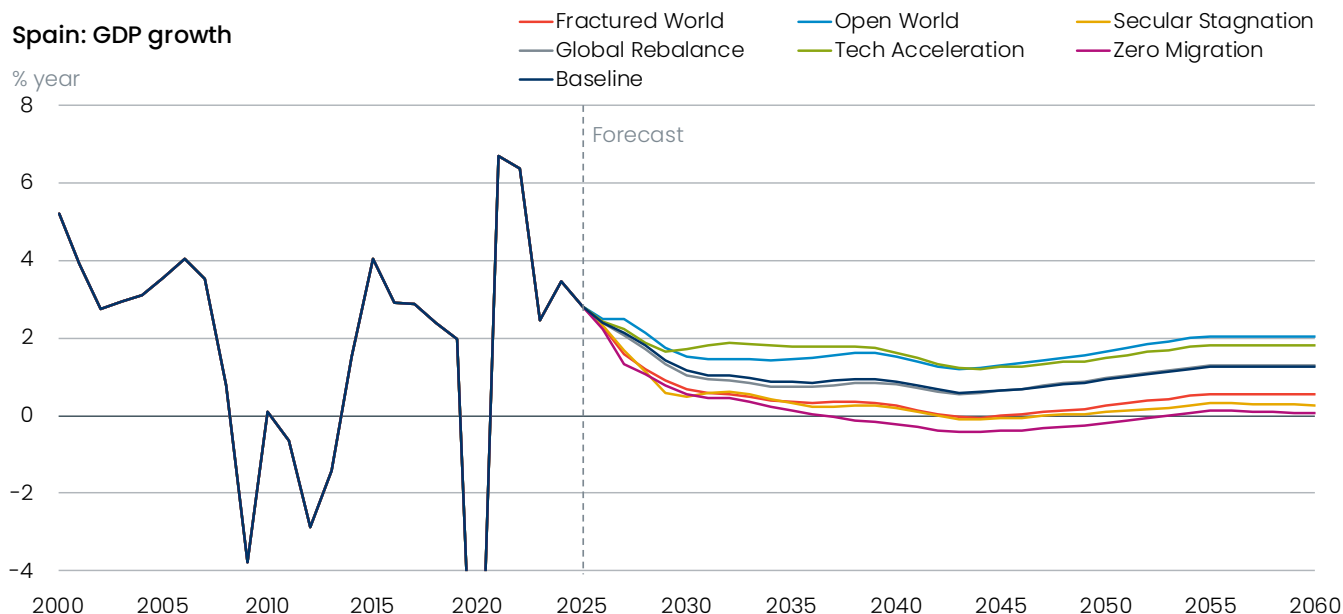
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, mostly advanced economies, benefit first. Productivity gains result in GDP growing 0.6ppts a year more than in our baseline between 2030 and 2060. Nominal and real interest rates would also be higher ([Chart 10](#)).

Chart 10: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, erosion in real incomes boosts support for populist movements. After winning elections, populist parties look for 'easy wins' such as fiscal giveaways, which harm government finances and require future austerity. Trade barriers become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. Persistent supply shocks and the erosion of central bank independence de-anchor inflation expectations, which entrenches higher inflation. Central banks prioritise government borrowing needs by keeping rates lower than required to bring inflation back to target. In this scenario, Spain's GDP grows by 0.7ppts a year less than in our baseline over 2030–2060.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1 = BEST)
Overall	3.2	0.2	16
Market demand	3.0	0.0	7
Market cost	3.0	0.0	13
Exchange rate	3.3	0.7	45
Sovereign credit	3.5	0.0	34
Trade credit	3.0	0.0	5

Source: Oxford Economics

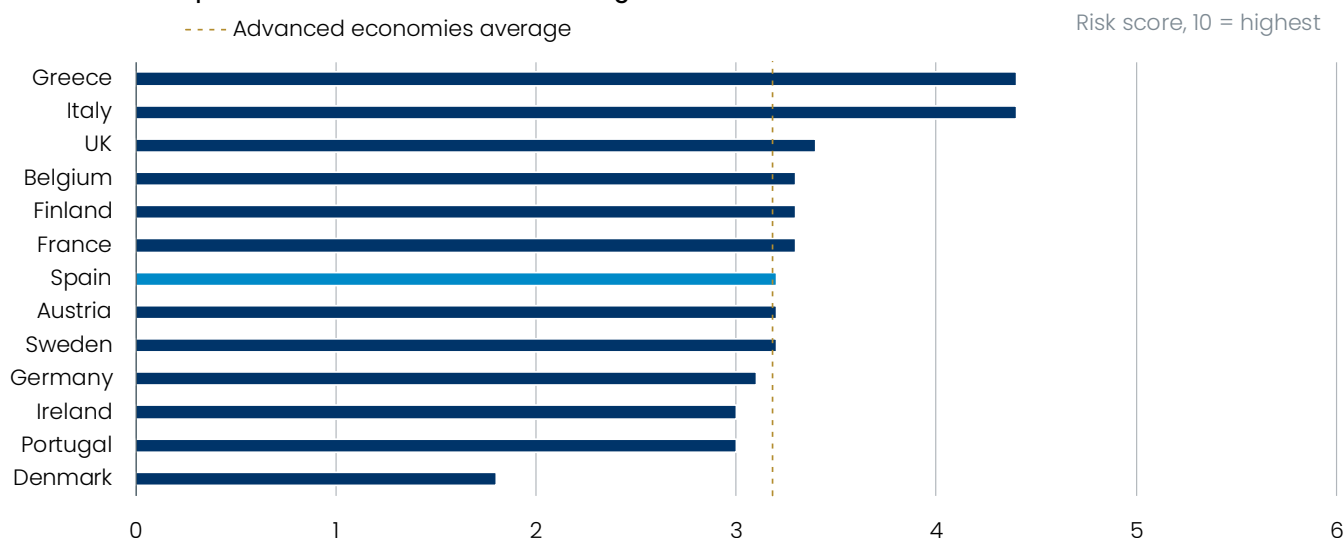
Overall risk for Spain: 3.2/10*

Our economic risk score for Spain is low at 3.2, ranking it 16th out of 164 countries in our survey, and broadly in line with the average for advanced economies. The risk score is slightly higher than it was six months ago.

The Spanish economy has recovered strongly after the pandemic, with competitiveness, exports, and investment all improving. Although it caused a massive setback in 2020, Spain's growth will likely remain among the fastest in the Eurozone over the next few years. But with elevated debt levels and high unemployment, risks to financial and social stability remain. Despite issues in Catalonia, political stability improved after the formation of a government coalition in 2019. Still, persistent corruption scandals have eroded public trust in institutions ([Chart 11](#)).

Chart 11: Spain's risk score is in line with the advanced economies' average

Economic risk: Spain vs Advanced economies average



Source: Oxford Economics

Market demand: 3.0/10

The market demand risk score of 3.0 is below the average of 3.4 for advanced economies. There's been a robust and broad-based recovery of demand in recent years. Consumer spending has grown at a solid pace since the pandemic, fuelled by job creation and rising real disposable incomes. In 2025, exports were 15% above their pre-pandemic level in real terms, helped by improved competitiveness that supported investment spending, including from abroad. We expect employment growth to moderate and households to experience slower gains in disposable income over the medium term.

Market cost: 3.0/10

The market cost risk score is 3.0, above the advanced economies average of 2.7. This partly reflects the evolving inflationary outlook for Spain. Inflation is now close to the Eurozone average, after years of lower price increases.

Meanwhile, a substantial drop in unit labour costs after the real estate bubble burst in the late 2000s has led to greater competitiveness, which Spain has sustained. Consequently, we're not concerned about a substantial, permanent rise in cost competitiveness, despite the higher inflation rates.

Exchange rate: 3.3/10

Spain's exchange rate risk score is 3.3, similar to that of other advanced economies. The low score mainly reflects large current account surpluses.

The euro surged to \$1.20 in early 2026 as US tariff uncertainty and safe-haven flows drove dollar weakness, but it's since pulled back to around \$1.15 as those initial drivers have partially faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data have tempered expectations of Federal Reserve easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises. The ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at \$1.17 at end-2026 and \$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

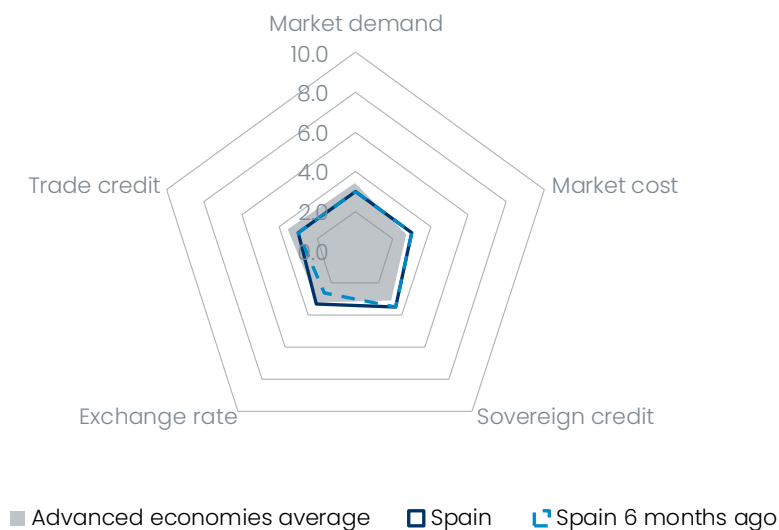
Sovereign credit: 3.5/10

Spain's sovereign credit risk score is 3.5, slightly above the average for advanced economies. Although our view is slightly more positive than current credit ratings, rating agencies have largely caught up with our assessment.

Our in-house measure of sovereign risk considers economic, political, and institutional factors. For Spain, the economic subindex has improved steadily in recent years, but ongoing political risk and a certain degree of institutional weakness have dragged down the political and institutional scores.

Chart 12: Spain ranks slightly below average on sovereign credit risk

Economic risk: Spain vs Advanced economies average



Source: Oxford Economics

Trade credit: 3.0/10

Our trade credit risk score – a measure of private-sector repayment risk – of 3.0 is still higher than the average for advanced economies. But we think this gap will narrow over the next few years.

Spanish firms have gone through a large deleveraging process in the past decade, pulling down their liabilities to levels below the Eurozone average. Given Spain's macroeconomic outlook, we expect this trend to persist. What's more, a solid regulatory backdrop, along with the removal of some of the political uncertainty following a long political impasse in 2019, will likely provide a better framework.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).